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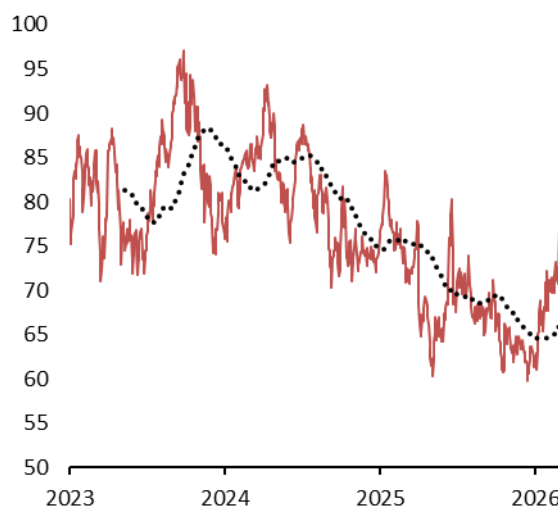


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- Oil prices have soared in recent weeks
- We see three channels of impact for India – risk sentiment, energy pricing, and economic activity.
- VIX is off highs but still elevated by historical comparisons.
- Along with crude oil, energy dependency extends to natural gas and LPG supplies from the region.
- We present scenarios on the economic impact, with the severity of the fallout to be dictated by duration of the conflict.
- Implications for markets: We expect weak risk uptake to weigh on the rupee.
- RBI will prefer to stay on a prolonged pause.

Global oil benchmarks whipsawed sharply this week, book-ended by an initial rally in Brent crude to ~\$120bbl before correcting sharply below \$90bbl (see chart). Pullback was driven by indications from the US administration that the conflict in Iran might end soon, and that efforts are underway to step up oil supplies through waiver of selected sanctions, plans to dip into emergency stockpiles, and navy support for vessels through the Strait of Hormuz, amongst others. At the time of writing there was lack of clarity on the direction ahead, amidst mixed messages on the duration and intensity of the conflict.

Crude Oil: Spot Price: Brent



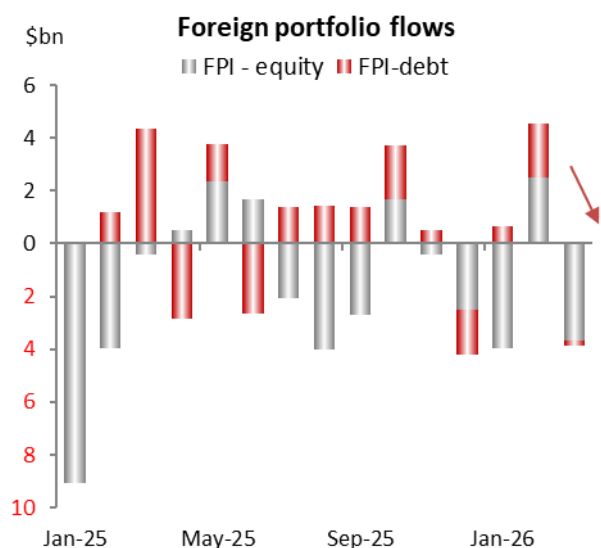
Source: CEIC, DBS

Degrees of impact from the ongoing conflict

We covered the impact on the economy from the current geopolitical risks [here](#), [here](#) and [here](#). There are three channels of impact for India – risk sentiment, energy pricing, and economic activity, from a prolonged war in the Middle East, with the intensity of fallout to be guided by the duration of the conflict and extent of resultant supply shocks.

Risk sentiments

India's VIX gauge remains at elevated levels, even if off highs (see chart), underscoring weak underlying risk sentiments. Domestic financial markets, including equity price action, bonds and rupee have felt the heat from the ongoing hostilities in the Middle East region. The currency had depreciated to a fresh low against the dollar, besides a tentative stabilisation in the benchmark equity indices after a sharp sell-off. After a reprieve in February, foreign flows have reversed out in March in midst of fresh geopolitical tensions (see chart).



To cap yields, the RBI conducted debt purchases via open market operations (OMO) worth INR 500bn on 9-Mar helping to stabilise the bond markets and has scheduled another INR500bn for 12-Mar, ahead of heavy seasonal advance tax as well as GST related outflows due in the coming weeks. This infusion will also ease the drain from strong FX intervention and maturing FX forwards. Authorities have also been active participants in the secondary markets in February, pre-dating the conflict, to rein in yields. The cumulative and sizeable scale of purchases have amounted to nearly three-fourth of net borrowings for the year. In midst of broader risk dislocations, markets had begun to price in tighter interest rate conditions in the year ahead, though are likely to correct in the near-term.

We expect the central bank to stay on a prolonged pause on policy rates, while undertaking specific steps to ease market tensions. Outside of the geopolitical tensions, we continue to expect the rupee to underperform the regional pack, even as the broader dollar might stabilise.

Energy pricing

For a start, **India's direct trade with Iran** (led by food, pharma, animal feed exports and petroleum product imports) has diminished in the past five years owing to the long-standing US sanctions (see chart).

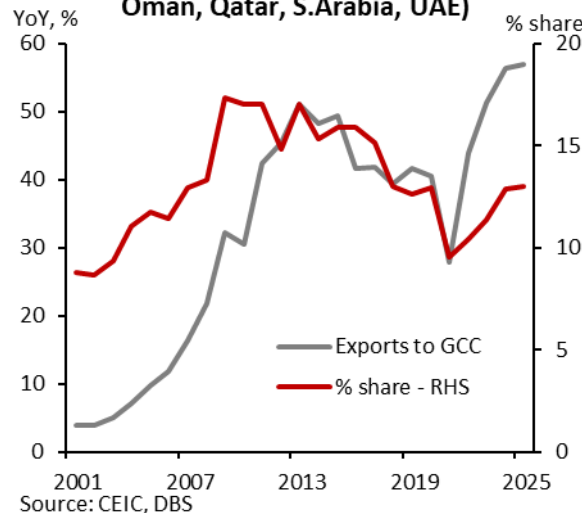


Source: Commerce Ministry, DBS

Amongst key investment commitments, India was a major partner in the development and operation of the Chabahar Port on Iran's southeastern coast, particularly to operate the Shahid Beheshti Terminal. While this investment is more strategic by nature rather than commercial, the exposure has faced the strain of sanctions by the West.

Trade linkages to the broader Middle East region remains more significant and important. Total trade with the GCC countries remains material (~15% of total trade) led by energy, machinery, gems & jewellery etc. A tenth of overseas Indians live in the UAE; ~38% of remittances. Add to this, Indians make up a big chunk of merchant shipping crew.

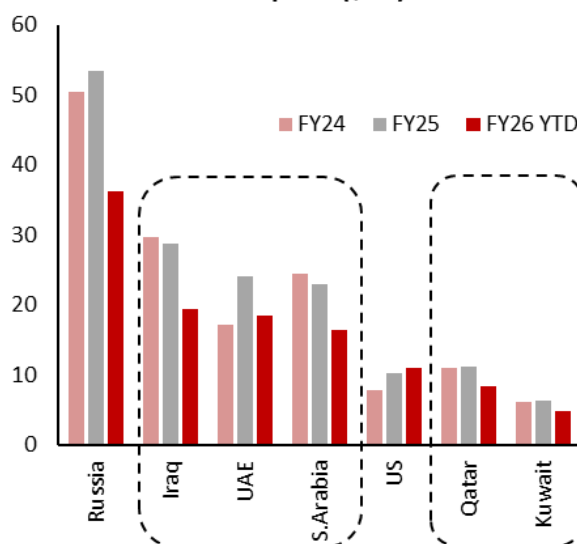
India's exports to GCC (Bahrain, Kuwait, Oman, Qatar, S.Arabia, UAE)



Source: CEIC, DBS

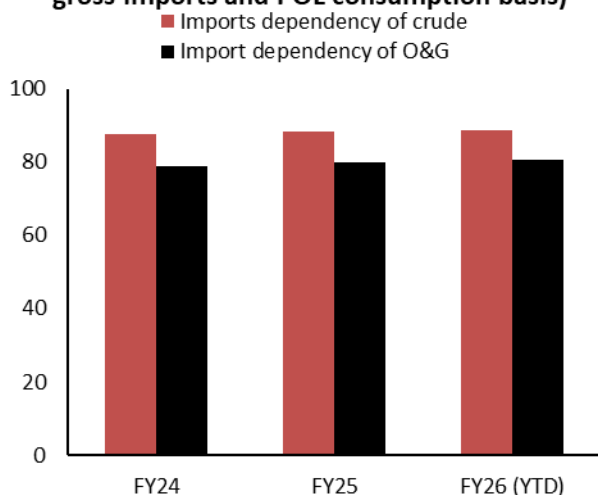
Escalation in the Middle East tensions will pose supply risks to the broader hydrocarbon trade for the country, including exposure to crude oil, LNG and LPG markets. India is the third largest oil consumer globally, with a heavy reliance on crude imports. The country imports more than 85% of crude oil supplies, of which more than 55-57% is from the Middle East countries (see chart). Around half of crude supplies, which amounts to 2.5-2.7mn/ day, travels through the Strait of Hormuz, largely from Iraq, Saudi Arabia, the UAE and Kuwait.

India's petroleum crude and products imports (\$bn)



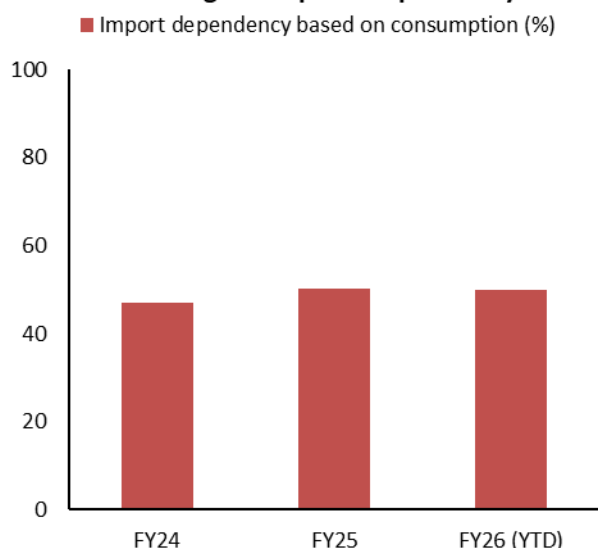
Source: Commerce Ministry, DBS

Oil & gas - dependency on imports (% of gross imports and POL consumption basis)



Source: PPAC, DBS

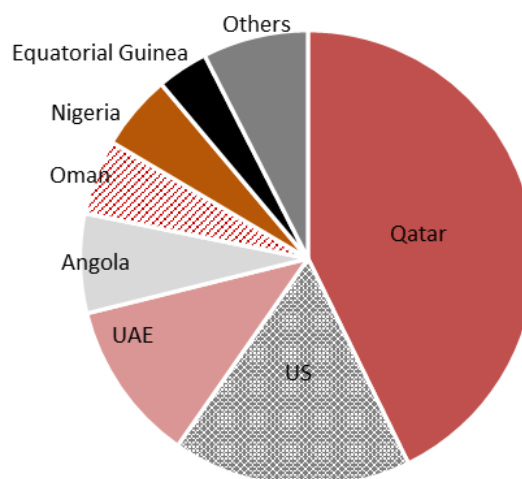
Natural gas - imports dependency



Source: PPAC, DBS

Additionally, more than 50% of the LNG is imported (see chart), two-third of which comes from the Middle east, key amongst which are supplies from Qatar. Notably, India is the world's fourth-largest buyer of LNG, with the current share of gas in the overall energy mix at a modest 6.2% (plan to increase to 15% within this decade).

Liquefied natural gas imports % share value, 2024



Source: CEIC, WITS, DBS

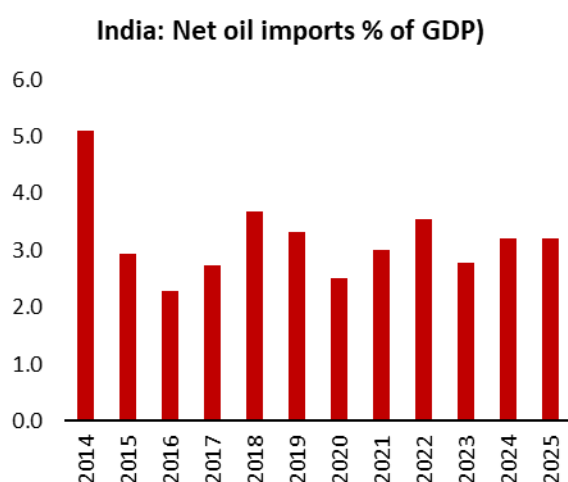
Lastly, two-third of LPG requirements are imported, which are in turn predominantly utilised by retail consumers (primarily cooking). With bulk of these resources passing by the Strait of Hormuz, indications that the vessel movements have grind to a near halt will intensify worries over the extent of stockpiles and backup inventories (LNG is most difficult to store).

On the heels of the price volatility and looming supply shortages, measures are underway domestically to balance the available stock, including prioritising household gas use while industrial consumers face potential delays/ disruptions. Several gas-related industries have also recently announced force majeure, especially those heavily reliant on imported gas volumes, including for instance petrochemical companies and refineries. Shortage in LPG supplies will largely impact retail consumers, with signs that the government has 20-25 days of inventory. **India's emergency strategic petroleum reserves**, managed by the state-run ISPRL, currently stands at ~30mn tonnes, according to officials cited by [reports](#), with the

storage is around 75-80% filled. Meanwhile, the government has reportedly no plans to join the International Energy Agency (IEA) initiative to release strategic oil reserves. To backstop supplies, the US had reportedly provided a 30-day waiver to India refiners to receive cargoes from Russia, of which oil is in afloat vessels. Indian authorities have, meanwhile, begun to seek alternate suppliers, for instance from Asia and Africa.

Economic/ macro channel – scenario analysis

The persistence and sustainability of high oil prices will play a key role in shaping the scale of the economic impact on countries. Earlier, oil markets had downplayed these risks, but they have now intensified as reports surface about infrastructure damage and delays in production in the Middle East.



Source: CEIC, DBS. Net oil import is excess of imports over exports of oil. Positive values are net importer while negative ones are net exporter of oil. EU 27 exc. UK data is for 2024.

Baseline forecasts for FY27: Outside of the geopolitical developments, positive high frequency indicators, revised GDP numbers and the court ruling on tariffs which had lowered the effective tariff on India prompted us to revise up FY27 real GDP growth to 7% (from 6.5% earlier). CPI inflation stands at 4% and current account deficit is expected to widen from an estimated -1.0% of GDP to -1.3% of GDP in FY27, factoring in moderation in service trade receipts. Encouragingly, the economy's oil intensity has reduced from the past, as signaled by the moderation in the net oil imports. As it stands, net oil imports stood at \$123bn (~3.1% of GDP) in FY25.

Sensitivities: As a start, crude oil prices at \$80-\$85bbl will be manageable, while the economic impact will be most acute if prices average north of \$100bbl for the coming months. Baseline assumption in the RBI's monetary policy report in Oct25 stood at \$70bbl in second half of FY26, as global crude oil prices had exhibited a declining trend easing from \$77bbl in early-Apr25 to \$68bbl in Sep25. Official estimates are that a 10% increase in crude oil prices vs the baseline, and assuming full pass-through to domestic product prices, CPI inflation could turn out to be higher by ~30 bps and growth may be lower by around 15 bps. For the CAD, a \$10bl increase could push by the shortfall by 0.35% of GDP.

Scenario analysis

Oil price	US\$80/bbl	US\$90/bbl	US\$100/bbl
GDP (change, ppt)	-0.15	-0.25	-0.40
CPI (change, % ppt)	+0.25	+0.35	+0.5
Current account/GDP (change, % ppt)	-0.35	-0.50	-0.60

Source: RBI, press, DBS; estimates vs FY27 baseline assumptions

The extent of impact on inflation will be dictated by who picks the incremental cost burden. India had undertaken measures to reform its fuel sector by deregulating petrol and diesel prices, allowing them to align with market rates to reduce fiscal deficits and losses of the upstream oil marketing companies. This helped to lower the fiscal burden on the government's books, with total subsidies accounting to 1.2-1.3% of GDP, of which petroleum is almost negligible at less than 3% of the total. However, in the event of a sharp rise in global fuel prices, authorities are likely to be cautious about fully passing on higher costs to consumers. The need to protect household purchasing power and support businesses as well as a packed state election calendar in 1H26 may prompt a more measured approach to retail fuel price adjustments, with the initial rise likely to be absorbed by the oil marketing companies (could lower dividend contribution). As an alternate to raising retail prices, excise duty cuts might be considered (for instance INR3/l reduction will amount to ~0.1% of GDP).

BOP dynamics: As highlighted above, the current account balance is likely to face a wider energy bill, pushing up the goods import bill. Concurrently, with the region making up ~40% of total remittances, inflows under this segment faces a second order impact if the conflict prolongs. As it stands, prior to the geopolitical tensions, financing flows for the current account gap were a bigger concern than the scale of the trade balance shortfall, with this likely to remain as a key flashpoint. A concurrent reduction in portfolio flows, narrowing net FDI and offshore borrowings crimped by a rise in costs/ hedging costs could keep the overall BOP in red in FY27.

Conclusion

Geopolitical developments are fluid at this juncture, with the economic impact on India to be dictated by how long the conflict lasts and which countries in the Middle East are engulfed in these hostilities. A lift in Strait of Hormuz blockages might help to restore supplies but with a significant lag time.

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